Pricing Simulation — Part 2

Game instructions · Cheyenne Shipping, with price matching

WHAT HAS CHANGED

- Both firms now enforce a PRICE MATCHING GUARANTEE. Customers always pay the lower of the two posted prices — whichever firm they buy from.
- So if you post $1,600 and your competitor posts $1,500, your own customers pay $1,500 as well.
- Because everyone ends up paying the same price, market shares no longer respond to price at all. Your share is 35% every round; your competitor's is 65%.
- Everything else is exactly as it was in Part 1 — same market, same costs, same price range, same competitor, between 10 and 20 rounds.

EACH ROUND

1. You post a price per container, anywhere from $900 to $2,000.
2. Your competitor posts a price at the same time.
3. The lower of the two prices becomes the price every customer pays, for both firms.
4. Both profits are worked out and added to your history.

THE NUMBERS

Market size	190,000 containers
Your share (CSC)	35%, fixed — it no longer moves with price
Competitor share (WNS)	65%, fixed
Your cost	$966 per container
Competitor's cost	$900 per container
Price range	$900 to $2,000, whole dollars

PROFITS

Price paid	= the lower of the two posted prices
Your profit	= 190,000 × 35% × (price paid − $966)

A worked example. You post $1,600; your competitor posts $1,500, so everyone pays $1,500.

	You (CSC)	Competitor (WNS)
Price posted	$1,600	$1,500
Price customers pay	$1,500	$1,500
Market share	35%	65%
Profit	$35.51M	$74.10M

Play Part 1 before Part 2. Your grade depends on taking part, not on the profit you earn.